

needs cease to dominate. These may be real needs or perceived needs, but they are the customers needs. It is perhaps untrue that "the customer is always right," but the troubled company has forgotten that "the customer is always the customer."

One of the local and better validations of this is Texas Instruments own admission several years ago that they got in trouble by making brilliant products and putting them on the shelves and then wondering why they didn't sell. As Mark Shepard, the legendary and long time, now-just retiring Chairman, was quoted as saying, "We were lousy at marketing." An old example is the first Henry Ford's wonderfully foresighted dictum: "They can have any color car so long as it's black."

Today is more than an information age, it's the dominance of information age, and information from customers is a key component. Personally, I believe that the best information is obtained in person. Awareness of the customer's needs comes through face to face contact with the customer by the salespeople, market researchers, but also by the designers, drivers, division presidents and hourly laborers. For one tooling company, I worked out a plan to get the lathe operators out of the shop and into the front office talking to the customers. For another company, we did a rotation plan so a different employee joined the sales force each week. After 50 weeks, we had 50 employees who could preach the message internally about what customers wanted.

Let me add that this philosophy about customers is what you see — even feel — in successful businesses because they give their customer the most value per-unit-cost available in the marketplace. They are vigilant about balancing many ever changing elements, and they tend to stay at the head of the pack.

Those are my seven deadly signs. I might also mention other trends which should at least cause raised eyebrows. It's dangerous when a company depends on one dominant presence — a single large customer, one "star" executive or salesman or a single patent or manufacturing process. Dependence on one of anything can cause trouble. Witness the difficulties Southwest Airlines had when the 737 was grounded. Lots of other examples are available.

Companies which make irrevocable commitments jeopardize their future. These seem innocuous and are expedient when made. They come home to roost much later as horrendous structural costs. By then, little can be done to remove them. Examples include leases, pension plans, unworkable software, obsolete equipment and many more.

It's also of concern when a company ignores government regulations. This attitude leads to confrontations which have mortally wounded the careless.

These, then, are the warning signs of the troubled company.

None of these take a rocket scientist. In fact, I hope they all sound like common sense.

Thomas Paine, author of the famous pamphlet *Common Sense* in 1776, was himself someone amazed at the reaction to his little booklet which galvanized the colonies towards revolution. "It contains nothing," he wrote to a friend, "which hath not be writ or said elsewhere at great length." So why did it cause the furor? Because the message was said so clearly, with confidence, with mission, and because he kept repeating it.

I said at the beginning that my mission is to save these companies. This isn't just a line of work. It's my calling. A friend of mine who is an Episcopal minister observed to me that we were *both* in the turnaround business. I guess he's right. After thinking about it, I know he's right.

One purpose of my being here today is to tell you that I'm not in this alone. I want your help spreading the word because I believe no company has to die if these warning signs are recognized early enough and vigorously acted upon.

Indeed, our own experience — and we get some of the sickest of the sick, the Intensive Care companies — is that 85 percent have been restored to profitability.

But the traditional "outsider" must be more willing to work with management and point out these warning signs *and* — just as important — insist that outside help be obtained to solve the problem.

Let me reinforce that by repetition, like *Common Sense*. The traditional "outsider" needs to be *more* alert, more critical and more demanding. Now, I realize that lenders in particular walk a fine line today. The increase in both volume and complexity in legal issues means that the commercial lender must be cautious not to exert "undue" influence. However, the lender is liable to be sued by the customer for a myriad of reasons related to not taking action.

Let me close on a personal note. Turnaround today is like those famous transplant surgeons. One doctor at Baylor University Medical Center in Dallas had a quote which I liked a lot. He was asked how he could justify the intensive, expensive activity which transplantation requires. He paused for a moment, and replied: "We are talking about resurrection. These are people who would now be dead. We give them back life, and the ability to lead normal lives." And he told the interviewer a story about a man for whom he had done a heart transplant. The man's wife had a baby about two years later.

That's what successful turnaround offers. Resurrection. Life and normal times. Jobs saved. Investments protected. The continuity of relationships with suppliers and customers maintained. All to be gained for only the cost of stepping beyond our preconceived boundaries and notions.

Thanks very much.

Myths and Truths, but No Challenge

MAKE SOME PIECE OF THE WORLD CARE

By ROBERT B. HORTON, *Managing Director — BP, p.l.c. and Chairman of the Board, BP America*

Delivered as the Commencement Address at Case Western Reserve University, Cleveland, Ohio, May 16, 1988

MR. PRESIDENT, distinguished trustees, and faculty and guests, graduating students, ladies and gentlemen: In this enormous crowd it is hard to identify individually any of you out there, but I want to begin by greeting Tom Posch, Cindy Debevec, Karen Seta, Charles Kent and Joe Banks. You five members of the Speakers Committee have

my deep personal thanks for asking me here today. Your invitation is an honor. I shall try not to let you down. My speech won't be long. On grand occasions, Spartan oratory is best.

I speak directly to you 500 baccalaureate graduates, rather than to the larger group of 1,500 who will take higher degrees away from this ceremony. Everyone here has my salute and my

congratulations, for we all share the pride and pleasure of your families and friends. But I speak to you: Tom, Cindy, Karen, Charles and Joe, and to your colleagues receiving your first college degrees. Let me offer you the speech I wish had been given to me on my own graduation thirty or so years ago.

Young friends, most commencement speeches are swill: the graveyard of graduation exercises, full of dead clichés and mindless epitaphs to the students' academic careers. Ask most graduates what they recall from the speaker at their own commencement, and the answer is: "Nothing. Nothing at all." What a pity, what a pity, for this ceremony, this ritual today, is your Rubicon. You are crossing a river you can never cross again. And attention should be paid, not with the mindless clichés of most commencement speeches, but with some clear truth. Here are three truths I offer you:

—*One*: The world does not belong to the young. It does not give a tinker's cuss about the young. Speeches to the contrary insult your intelligence.

—*Two*: Not one soul here today is likely to change civilization. Do not be misled by Pollyannas.

—*Three*: You are far older than you think. Already, almost one-third of your life has ticked away.

Those are my three truths, young friends. But don't be dismayed. They are verities, but they do not mean that life is bleak. Far from it. These truths are not my message but its prologue. Here's the message I share in honor of your commencement:

If the world doesn't care; if you are not likely to change civilization; and if time flies, what can you do, now that you clutch your precious baccalaureate degree beneath your arm and face reality? You can do good work.

I'm not speaking here of charitable work, good works with an "s" in the Lady Bountiful sense. I mean sound work, first-rate work, excellent work. You'll have to work anyway. Most of you work already, and I don't mean schoolwork alone, but holding down paying jobs. Since work we must, like breathing in and out, let me share the greatest secret in the world with you. I tell you that good, first-rate work is glory.

Good work separates humankind from the beasts. Ants farm, delve and make war, but they do not think, talk or laugh. Science has now decided that chimpanzees think. Myna birds talk. Hyenas laugh. But when human beings work well, we do it while thinking, talking and laughing. Good human work puts it all together.

Good work builds. It is all we have to do that might make the slightest change in civilization. Good work adds to the sum of humanity. Good work pays. In money. In the coin of communion. In the currency of satisfaction. It gives us pride in our talent and dedication. Good work makes us matter.

Life is full of splendor: thought, study, parenthood, play, travel, laughter, love. All are fine, but the greatest thing in life is good work because it feeds our body and soul as it fuels civilization. Most of all, good work is fun!

Part of the ritual of going to college is learning the classic, tragic view of life. I think this happens about halfway through the sophomore year, mostly to liberal arts majors, but quite a few scientists and engineers become infected. You know what I mean. We learn that sooner or later, everything falls apart. The Sphinx crumbles. The Parthenon erodes. We cannot speak the language used in Ur. Who knows what songs were sung by the cave painters of Lascaux? The palaces of ancient China are as remote as the canals of Mars. Even the

land itself is subsumed in the earth's tectonic millstones.

This discovery, this infection, is what creates poets, drunks and religious fanatics, and mid-life crises among the college educated. But there's an antidote for this infection. It's called good work. Good work endures. Hints persist. Shards remain. A Folsom spear point says: "A prehistoric American made me." A Tang funerary statue whispers: "My creator must have loved the chubby Chinese lady I depict." The great cave paintings of Lascaux shout: "Cro-Magnon man was here!"

The glory of good work is that it has a chance of biding, if not forever, then at least awhile. And the glory of individual men and women is the choice to work because we can, not merely because we must. Unlike the Bible's lilies of the field, men and women must toil and spin. And we also can, through our work, take thought for the morrow. Knowing as we do that time flies, we work to fling a glove in its grisly face. "Do your worst," we say to time, "but I will do my best, so that something, some fossil, hint or shard, remains awhile to show that I have lived."

Ars longa, vita brevis. Latin lasts, not only because it lets visiting speakers show off their erudition. But though art, like Latin, lasts, we only call it art after we've decided that it's good work. Not because of its emotionalism, but because of its workmanship, its competence. The best of any work becomes art.

One man's bridge is another man's cathedral. We may argue that refining a gallon of gasoline is not as worthy as painting the Sistine Ceiling, or that baking a loaf of bread is less valuable than writing a symphony. But we have it on the highest authority that the Marthas of the world are as valuable as the Marys. Not every bridge is as great as Chartres, nor is making every product as valuable as painting a masterpiece. The world is full of loaves of bread which are trivial compared to Beethoven's Ninth. But the best bridge, the best process, the best loaf of bread, the best of anything is worthy of remembrance. Their link is excellence. The best things stand alone among their sort.

The real meaning of your ceremony today is that attention is being paid to *your* excellence. You have spent the first part of your lives well. The sorting has begun and you have come through. You are beginning to be effectively ranked. By conferring its degree, this fine university certifies that you have done your work competently. You are graduated, classified as members of the human race whose work just might be worth remembering a little more than someone else's. That's your opportunity and your test, which now will last the rest of your lives.

Is your work each day better than someone else's? Is it better than you could do a day ago? Are you living up to your opportunities? Last year in the U.S., 2,000 full, four-year colleges and universities conferred nearly a million undergraduate degrees on young men and women in every walk of life. Most of these graduates will become productive citizens and many will live lives of joy. And a hundred years from now, precious few of those million young men and women's names will be remembered. But I tell you that although their names will be lost, some of their work will endure.

Human beings have always looked at history through four lenses: tragedy and pathos, comedy and farce. Comedy is humanizing, tragedy cathartic, farce is fun, but pathos ennobles. Pathos pays tribute to the brave act of duelling an unforgiving world. Youth fades. Health withers. Wealth tyrannizes. Friends move away. Strength ebbs and intellect dims. All that is true. But so what?

Irony is for sophomores and the tragic view of life is only for adolescents. How precious it is that we live at all! And work is what we do with our lives. Until the end, there is always something productive we can do. The daily test for everyone of us is: Did we do what we chose to do as well as we could? Competence is the ethical content of work. The ethical person is conscientious — you do whatever you do to the best of your ability and sensitivity.

You get your feedback, your grades, in many ways. But I'm convinced that if you do your work in the business system, in companies with bottom lines, auditors and all the rest of the business trappings, you will get more usable grades, more often. A business is simply organizing work to measure results.

Since I am a businessman, you might expect me to urge you to join me, instead of the church or government or academy. I would not be so presumptuous. But the point I would make to you about business is that much of the world's work, the daily invention, production and distribution of the stuff of life, is business activity. Business is real. Much of the rest can be lovely, but some of it is peripheral. It exists out of the surplus, the profit, from business. Somewhat obliquely, I'm saying that business is the conceptual definition of good work.

A timeworn cliché of commencement speeches is to tell you that your education has only just begun. I tell you that you are far enough along the learning curve of life to begin to sift the true things you learn from the myths. Here are a few positive truths in which I believe, because they stand up when tested:

- You do not inevitably have to choose between freedom and order. Business teaches you that you can have both.

- The past was not better than the present. Life in the past was often nasty, brutish and short. Look backward for fun, but always march ahead.

- Progress is possible, thus technology is not merely important, but crucial to a better world.

- It is always better to do things than merely to have things, but doing things well ought to increase what you have, if that's important to you.

- Ethical behavior and morals were not invented, they were discovered.

- The elements of success are intellect, drive, stamina, loyalty, enthusiasm, honor and conscience. And a sense of humor helps.

- Every act creates results. I believe in cause and effect. The ethical person always pays his dues.

- Three quarters of my time should be spent on the quarter of my work that really counts. I get better results that way.

- Human beings are gregarious by nature. We are a herd animal. John Donne was right: "No man is an island . . . ask not for whom the bell tolls. It tolls for thee."

- Finally, never confuse happiness with comfort, fame or success. Comfort, fame, and success come and go. But happiness remains so long as you have work you enjoy.

And that completes my own personal list of truths, my young friends.

The final cliché of every commencement address is the challenge to the graduates, exhorting you to do this or that, conquer one world or another. I'll spare you that. I think you present the challenge to the world, to use you properly so that everyone profits from your lives. That will take work, and as you can tell from my message today, I believe in work. But I do not worship it as a god. All work and no play is as dreary as no work at all. The world is full of wonderful things: music and literature, history and art, poetry and the beauty of nature. But good work is a crucial part of living a life full of grace.

So if you want those you challenge in this world to use you correctly, you know my advice. Show them that you care about good work. The most attractive traits in people, to me, are commitment, stamina, good sense, plus the ability to laugh and sing. That's what I look for in a colleague. And that, young friends, puts it all right back squarely to you.

If you agree with me that the world doesn't care, that you are not likely to change the world, and that time's a-wasting, then you have your work cut out for you. Don't waste too much of the time you have left. *Make* some piece of the world care. Leave some shard, some Folsom point behind. Who knows, your work just might last as long as the Cro-Magnon paintings at Lascaux.

Martin Luther King used to quote a certain stanza from Longfellow. I like it, and I pray that you do too:

"The heights by great men reached and kept
Were not attained by sudden flight.
But they, while their companions slept
Were toiling upward in the night."

Thank you for the privilege of sharing with you this precious day in your lives.

A Loaf of Bread

TO LIVE YOUR LIFE FULLY

By BET T. CRAIG, *President, First Union Corporation*

Delivered to Eagle Scout Recognition Program, The Piedmont Council, Boy Scouts of America, Lincolnton, North Carolina, April 21, 1988

THANK YOU for that kind introduction. What a grand and exciting evening this is . . . what a fantastic event . . . looking out over this vast audience of high-achieving young people, I gain a feeling of great pride in our youth and in our nation. It is a great sight to see 134 Eagle Scouts from 74 troupes in the Piedmont Council gathered to allow a proud community to salute you.

Now, I never was a great mathematician, but they tell me

134 Eagle Scouts is equal to 3 percent of your fellow Piedmont Scouts. And they also tell me that 3 percent is three times the national average for Eagle Scouts.

That's just terrific!

You have good cause to be proud of yourselves . . . and I'd like to say, on behalf of the community, that we couldn't be more proud of you.

Over the past weeks, I have continuously asked myself:

